Tax Due Diligence Report – Project Alpine

Target: Müller Präzisionstechnik GmbH, Reutlingen (Baden-Württemberg). Buyer: Alpine Industrial Partners SCSp. Report date: 14 February 2024. Closing: 28 March 2024.

Executive summary

We identified no deal-breaking tax risks. Three areas require post-closing attention: transfer pricing documentation for the Polish contract manufacturer, readiness of the invoicing system for mandatory e-invoicing, and an unused research allowance (Forschungszulage) potential.

Area	Risk	Indicative exposure
Transfer pricing	Medium	EUR 0.4m – 0.9m
VAT / invoicing	Medium	Process risk
Research allowance	Opportunity	EUR 1.1m – 1.6m
Wage tax	Low	< EUR 50k

1. Corporate structure and tax group

Müller Präzisionstechnik GmbH (the Company) is wholly owned by Müller Holding GmbH. A fiscal unity (Organschaft) for corporate income tax and trade tax exists since 2016, based on a profit and loss transfer agreement.

The Company holds 100% of Müller Precyzja Sp. z o.o., Wroc■aw (Poland), which manufactures sub-assemblies exclusively for the Company with approx. 90 employees.

Business: CNC precision components for automotive suppliers (approx. 60% of sales) and medical device manufacturers (approx. 40%). Export share approx. 55%, mainly EU, Switzerland and the USA. Domestic B2B sales approx. EUR 21.7m in FY2023.

2. VAT

The Company makes a high volume of domestic B2B supplies and intra-community supplies, including chain transactions via the Polish subsidiary. Reporting was found to be materially correct.

Invoices are generated in Sage 100 (on-premise, version 2019). The system produces PDF invoices only and supports neither XRechnung nor ZUGFeRD. Management plans an ERP migration "in 2026 or later"; no budget has been approved.

3. Wage tax

22 managers use company cars; the 1% rule is applied correctly. Two vehicles are fully electric (0.25% rule applied).

4. Transfer pricing

Müller Precyzja is remunerated on a cost-plus basis with a markup of 5% under the contract manufacturing agreement of 1 July 2019 (see data room document 03). A Local File exists for FY2019–FY2021 but has not been updated since. The underlying benchmarking study dates from 2019. A tax audit for FY2021–FY2023 is expected in 2026.

5. Research and development

An internal R&D; team of 14 FTE develops new machining processes for medical-grade titanium implants. These are process innovations with technical uncertainty. R&D; personnel costs were approx. EUR 1.3m per year in FY2020–FY2023. No claim for the research allowance under the FZulG has ever been filed and no BSFZ certificate exists.

6. Open points after closing

- Update Local File and benchmarking study before the 2026 audit
- Evaluate a Forschungszulage claim for FY2020–FY2023
- Assess e-invoicing readiness of the invoicing system